

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

USL AUTO EXPORTING INC., *Complainant*

v.

EASY SHIPPING CORPORATION, *Respondent*.

DOCKET NO. 23-13

Served: February 10, 2025

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

**ORDER OVERRULING COMPLAINANT’S OBJECTION TO EXTENSION OF TIME, GRANTING
COMPLAINANT’S MOTION FOR LEAVE TO ISSUE SUBPOENA TO CMA CGM, GRANTING
COMPLAINANT’S MOTION TO SUPPLEMENT RECORD AND COMPEL RESPONDENT TO
PRODUCE CORRESPONDENCE, AND SETTING NEW DEADLINES**

By order served January 30, 2025, the Order to Show Cause entered against Respondent Easy Shipping Corporation (“Easy Shipping”) was discharged, and the deadline for Easy Shipping to file its brief, proposed findings of fact, appendix, and response to proposed findings of fact was extended to February 3, 2025. On the same date, Complainant USL Auto Exporting, Inc. (“USL”) filed Complainant’s Objection to Respondent’s Request for Additional Time and Complainant’s Motion for Leave to Issue Subpoena to CMA CGM. On January 31, 2025, USL filed Complainant’s Motion to Supplement the Record and Compel Respondent to Produce Correspondence. On the same date, USL filed Complainant’s Exhibit U. For the reasons set forth below, Complainant’s Objection to Respondent’s Request for Additional time is overruled; Complainant’s Motion for Leave to Issue Subpoena to CMA CGM is granted; and Complainant’s Motion to Supplement the Record and Compel Respondent to Produce Correspondence is granted. Additionally, the scheduling order served March 18, 2024, is amended as set forth below.

A. Relevant Procedural History

On December 4, 2023, USL filed a complaint against Easy Shipping asserting violations under 46 U.S.C. §§ 41102(c) and 41104(a)(3). The Scheduling Order served March 18, 2024, directed the parties to complete discovery by May 23, 2024. The record shows that Easy Shipping has consistently failed to defend this proceeding. In this regard, it: failed to file an answer in compliance with 46 § U.S.C. 502.62(b)(2), but rather filed an unverified memorandum response with exhibits; failed to communicate with USL to prepare the joint status report; failed to timely respond to USL’s motion for summary judgment; failed to respond to USL’s renewed motion for summary judgment until after a show cause order was issued; and did not file its brief, proposed findings of fact, appendix, or response to proposed findings of fact in accordance with the scheduling order.

In light of Easy Shipping's repeated failure to comply with applicable rules and orders, by order served January 8, 2025, Easy Shipping was directed to show cause by January 24, 2025, why a default shall not be entered against it for failure to respond to USL's renewed motion for summary judgment and why default judgment should not be entered against it for failure to file its brief, findings of fact, appendix, and response to findings of fact in accordance with the Scheduling Order served March 18, 2024. Order to Show Cause at 2. On January 24, 2025, Easy Shipping filed both a response to the show cause order and a response to USL's renewed motion for summary judgment, in which it requested the period of five days to file its brief, proposed findings of fact, appendix, and response to proposed findings of fact. By order dated January 30, 2025, the show cause order was discharged and Easy Shipping was directed to file its brief, proposed findings of fact, appendix, and response to proposed findings of fact by February 3, 2025.

On January 30, 2025, Complainant USL filed: 1) Complainant's Objection to Respondent's Request for Additional Time; and 2) Complainant's Motion for Leave to Issue Subpoena to CMA CGM, along with a draft subpoena. On January 31, 2025, USL filed Complainant's Motion to Supplement the Record and Compel Respondent to Produce Correspondence. On the same date, USL filed Complainant's Exhibit U.

B. Objection to Extension of Time

USL objects to granting Easy Shipping additional time to file its brief, proposed findings of fact, appendix, and response to proposed findings of fact on the ground that Easy Shipping failed to file a motion establishing good cause at least seven days in advance of the deadline in accordance with 46 U.S.C. § 502.102, has repeatedly missed deadlines and caused delays, did not establish good cause for non-compliance with the scheduling order, raises baseless claims, and argues that USL will be prejudiced by an extension of the deadline. Complainant's Objection to Respondent's Request for Additional Time.

In the January 30, 2025, order discharging the show cause order, the undersigned found that good cause existed to extend Easy Shipping's briefing deadline to February 3, 2025, under a totality of the circumstances analysis on the ground that the interests of justice will be served by entering a decision on the merits, there is no evidence that doing so will unduly delay the proceeding or result in prejudice to USL, and there is no evidence that Easy Shipping acted in bad faith. Order Discharging Show Cause Order and Setting New Deadline at 3.

Although USL contends that it will be prejudiced by an extension, it does not state with particularity how it will be prejudiced by allowing Easy Shipping to file its brief and related documents no later than February 3, 2025. Rather than stating how it will be prospectively harmed, USL cites to the delays and legal expenses that it previously incurred as a result of Easy Shipping's inaction. This past harm does not support a finding that USL will be prejudiced moving forward by affording Easy Shipping a short window to file the documents required by the scheduling order. Moreover, given that USL has requested leave to subpoena records from CMA CGM, compel the production of documents from Easy Shipping, and supplement the record with new evidence, granting USL's motion will likely delay resolution of this proceeding by several months. Given USL's request for additional discovery, the undersigned finds that the modest extension granted Easy Shipping will not unduly delay the proceeding or prejudice USL.

The limited extension of the discovery deadline to accommodate the requests of both parties will also ensure that the record is fully developed, and will likely result in the production of evidence that is uniquely within the possession of Easy Shipping. Based on the record, the undersigned finds under a totality of the circumstances that the prejudice to USL is vastly outweighed by the benefit of a fully developed record and decision on the merits. Accordingly, USL's objection to the extension is overruled.

C. Motion for Leave Subpoena to Issue Subpoena to CMA CGM

USL's motion contends that it recently discovered evidence supporting its allegation that Easy Shipping has engaged in a pattern of unreasonable practices related to the handling of shipments returned from Libya that it alleges constitute a violation of 46 U.S.C. § 41102(c). It seeks issuance of a subpoena to ocean common carrier CMA CGM for the purpose of obtaining records related to shipments returned from Libya during the relevant time frame, records related to the shipment at issue, and records related to the communications and correspondence between Easy Shipping and CMA CGM. Complainant's Motion for Leave to Issue Subpoena to CMA CGM at 2-3.

46 U.S.C. §502.131 provides:

Subpoenas for the attendance of witnesses for the production of evidence shall be issued upon request of any party, without notice to any other party. Requests for subpoenas must be submitted in writing to the Office of Administrative Law Judges. Where it appears that the subpoena sought may be unreasonable, oppressive, excessive in scope, or unduly burdensome, the administrative law judge may in his or her discretion, as a condition precedent to the issuance of the subpoena, require the person seeking the subpoena to show the general relevance and reasonable scope of the testimony or other evidence.

Pursuant to the scheduling order dated March 18, 2024, discovery in this proceeding closed May 23, 2024. This fact notwithstanding, the undersigned finds that permitting service of a subpoena after the close of discovery is warranted given that USL states that it recently discovered evidence showing that Easy Shipping engaged in similar violations in the past. Thus, the evidence sought is directly relevant to the issue of whether the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis in accordance with 46 C.F.R. § 545.4. The undersigned finds that the subpoena is not unreasonable, oppressive, excessive in scope, or unduly burdensome. Accordingly, the motion seeking leave to issue a subpoena to CMA CGM is granted.

D. Motion to Supplement the Record and Compel Respondent to Produce Correspondence

USL asserts that it has newly discovered evidence that Easy Shipping engaged in a pattern of past conduct in which it violated the Shipping Act in a manner substantially similar to the unreasonable practices alleged in this proceeding. In this regard, USL identified a shipment by bill of lading number, container number, and cargo list in which CMA CGM was the ocean common carrier and in which it alleges that Easy Shipping misclassified vehicles bound for Libya that were subsequently returned under circumstances substantially similar to the case under consideration. USL argues that records in CMA CGM's possession are directly relevant to issues in this proceeding and seeks to supplement the record with relevant evidence obtained through the subpoena to be served on CMA CGM.

Similarly, USL argues that Easy Shipping is in possession of documents related to the newly discovered similar shipment, and seeks a motion compelling Easy Shipping to produce the following records related to the shipment in question, namely Bill of Lading CMDUNAM6150781B for container TCKU6353393, that was loaded in Chicago and destined for Libya but returned, and in which Drop Atlas Shipping Agencies Co. was the consignee:

1. Emails, messages, and internal communications related to the shipment.
2. Correspondence with CMA CGM regarding the return of this shipment.
3. Communications with the consignee, Drop Atlas Shipping Agencies Co., regarding the return.

46 C.F.R. § 502.141(b)(2) requires the parties to make disclosures to one another within seven days of service of a respondent's answer and without waiting for a discovery request to provide each other: "A copy, or description by category and location, of all documents, electronically stored information, and tangible things that the party has in its possession, custody, or control and may support claims or defenses, unless the use would be solely for impeachment."

Records related to other shipments handled by Easy Shipping in which it similarly misidentified cargo on bills of lading original bound for Libya but returned are directly relevant to the issue of whether the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis in accordance with Rule 545.4. Given that USL alleges that Easy Shipping engaged in similar unreasonable practices in the past in shipments it handled using CMA CGM as the ocean common carrier, Easy Shipping likely has responsive records in its possession that it did not identify or produce.

Pursuant to 46 C.F.R. § 502.150(a) a party may seek to compel compliance with the requirements for initial disclosures set forth in 46 C.F.R. § 502.141.

Based on the newly discovered evidence suggesting that both CMA CGM and Easy Shipping have records directly related to an issue in the proceeding and the well documented pattern of Easy Shipping's failure to cooperate with USL and defend the proceeding, the undersigned finds that good cause exists to compel Easy Shipping to produce the records sought by USL and to allow supplementation of the record with any new evidence obtained through that production as well as any new evidence obtained in response to the subpoena to be served on

CMA CGM. Accordingly, USL's motion to Supplement the Record and Compel Respondent to Produce Correspondence is granted.

E. Order

For the foregoing reasons, it is hereby **ORDERED** that:

Complainant's Objection to Respondent's Request for Additional Time is **OVERRULED**;

Complainant's deadline to file its reply brief is extended to **February 24, 2025**;

Complainant's Motion for Leave to Issue Subpoena to CMA CGM is **GRANTED**, and Complainant is directed to promptly serve CMA CGM with the subpoena executed today;

CMA CGM shall produce documents responsive to the subpoena by **March 12, 2025**;

Complainant's Motion to Supplement the Record and Compel Respondent to Produce Correspondence is **GRANTED**;

Respondent is directed to produce to USL no later than **March 12, 2025**, the following documents related to the shipment of container TCKU6353393 under Bill of Lading CMDUNAM6150781B:

1. Emails, messages, and internal communications related to the shipment.
2. Correspondence with CMA CGM regarding the return of this shipment.
3. Communications with the consignee, Drop Atlas Shipping Agencies Co., regarding the return;

USL shall serve copies of all documents produced by CMA CGM to Easy Shipping by **March 19, 2025**;

The record is hereby supplemented to include Complainant's **Exhibit U**, and the parties may further supplement the record as set forth in this order by **April 4, 2025**; and

Complainant and Respondent are directed to file any supplemental briefs and supplemental appendices by **April 4, 2025**.

Mary A. Hervey -S

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Hervey -S
Date: 2025.02.10 14:29:59 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge